

play it at all? If you follow their rules, you will lose—since you will end up as much a slave to Mr. Market as the professionals are.

Instead, recognize that investing intelligently is about controlling the controllable. You can't control whether the stocks or funds you buy will outperform the market today, next week, this month, or this year; in the short run, your returns will always be hostage to Mr. Market and his whims. But you *can* control:

- **your brokerage costs**, by trading rarely, patiently, and cheaply
- **your ownership costs**, by refusing to buy mutual funds with excessive annual expenses
- **your expectations**, by using realism, not fantasy, to forecast your returns<sup>7</sup>
- **your risk**, by deciding how much of your total assets to put at hazard in the stock market, by diversifying, and by rebalancing
- **your tax bills**, by holding stocks for at least one year and, whenever possible, for at least five years, to lower your capital-gains liability
- and, most of all, **your own behavior**.

If you listen to financial TV, or read most market columnists, you'd think that investing is some kind of sport, or a war, or a struggle for survival in a hostile wilderness. *But investing isn't about beating others at their game. It's about controlling yourself at your own game.* The challenge for the intelligent investor is not to find the stocks that will go up the most and down the least, but rather to prevent yourself from being your own worst enemy—from buying high just because Mr. Market says “Buy!” and from selling low just because Mr. Market says “Sell!”

If your investment horizon is long—at least 25 or 30 years—there is only one sensible approach: Buy every month, automatically, and whenever else you can spare some money. The single best choice for this lifelong holding is a total stock-market index fund. Sell only when you need the cash (for a psychological boost, clip out and sign your “Investment Owner's Contract”—which you can find on p. 225).

To be an intelligent investor, you must also refuse to judge your financial success by how a bunch of total strangers are doing. You're not one penny poorer if someone in Dubuque or Dallas or Denver beats the S &